

BY TRUCKERS, FOR TRUCKERS

How to Escape Your Factoring Contract

Read your contract. Do the math. Switch without losing a paycheck.



You gross \$10K a week — but \$10K never hits your account. Fees, reserves, and discounts eat it up, and the money stays with the factor. This guide answers one question in plain words: **is it cheaper to leave, or cheaper to stay?**

1 · What's inside the contract

Before you can leave, know what you're leaving. Almost every contract hides these six things.

Term length

6, 12, or 24 months — often with auto-renewal.

Factoring rate

e.g. "3% per 30 days," rising per extra day.

Minimum volume

Monthly/annual amount you "promise" to factor.

Extra fees

ACH, wires, audits, duplicate invoices.

Reserve

% of each invoice the factor holds as a buffer.

UCC / lien

Public filing giving the factor a claim on your receivables — sometimes all assets.

2 · The 5 myths that keep you stuck

- "I can't leave until it ends."** Most contracts have an exit clause. It costs money, but the door exists. Ask: leave vs. stay — which costs more?
- "They'll sue me."** Pay what you owe and give notice. The factor usually just takes its penalty and closes your file.
- "I'll lose my history."** Your record lives with brokers — your MC/DOT and on-time loads — not with the factor.
- "I'll get blacklisted."** Brokers work with many factors. There's no universal blacklist for switching.
- "They're all the same."** Rates, fees, and reserves vary a lot. Don't just compare "3% vs 2.5%" — count every fee too.

3 · Read your contract — 5-step checklist

1	Find the term & renewal Note sign date, anniversary, and the notice deadline (30/60/90 days).
2	Locate the termination clause Search "Termination," "Buyout," "Cancellation Fee." Is it fixed or volume-based?
3	Count the months left How many months until the anniversary or end of term?
4	Estimate the cost of staying Monthly volume × (your rate – a lower benchmark) × months left.
5	Check UCC & reserve Confirm any UCC filing and how/when your reserve is returned.

4 · Stay vs. leave — the honest math

SCENARIO A — STAY 6 months left \$150,000 avg monthly volume 4.5% effective rate (with fees) \$40,500 total cost of staying	SCENARIO B — LEAVE \$5,000 exit penalty New provider cost varies One-time hit, then done \$5,000 up-front to walk away
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The penalty hurts — but it can be far less than staying 6–12 more months. Put the numbers on the table with your family and your accountant, and decide.

5 · Switch without losing cash flow

The real fear isn't the penalty — it's weeks with no deposits. Protect the switch:

- ✓ Review the termination clause & UCC with your accountant.
- ✓ Pick a cutoff date with the fewest open invoices.
- ✓ Keep a cash cushion for 2–3 transition weeks.
- ✓ Line up the first payment with your new provider.
- ✓ Tell brokers early who receives payment after cutoff.
- ✓ Time it so the new payment lands as the old UCC releases.

Your next 4 steps

1. Print this checklist and fill in your contract's numbers.
2. Book time with your lawyer or accountant.
3. Run the "stay vs. leave" math with someone you trust.
4. Decide, as a family, what risk you'll take.

Not every contract is a trap — but not every one is worth riding to the end. The difference is what you know, and how you use it.